

analysis and to most investment strategies, but it is certainly a potential that speculators might wish to note. Finally, as Figure B-10 reiterates, the next major bottom for the Kondratieff cycle is due in 2003.

THE DECENNIAL PATTERN

The Decennial Pattern, first described by Edgar Lawrence Smith in the 1920s, is a detailed depiction of the ten-year cycle. The fact that the pattern reflects an Elliott Wave adds credence to its validity. Figure B-11 was first shown in *Elliott Wave Principle* in 1978. *The Elliott Wave Theorist* found the Decennial Pattern of great value in the 1980s in helping project a bullish outlook from mid-1984 to mid-1987. Notice how perfectly the 1980s fit into the historical pattern, producing a major bottom in the "2" year, a pullback into the middle of the "4" year, a peak in the third quarter of the "7" year, a crash into the fourth quarter of the "7" year, an advance into the "9" year, and a correction into the "0" year.

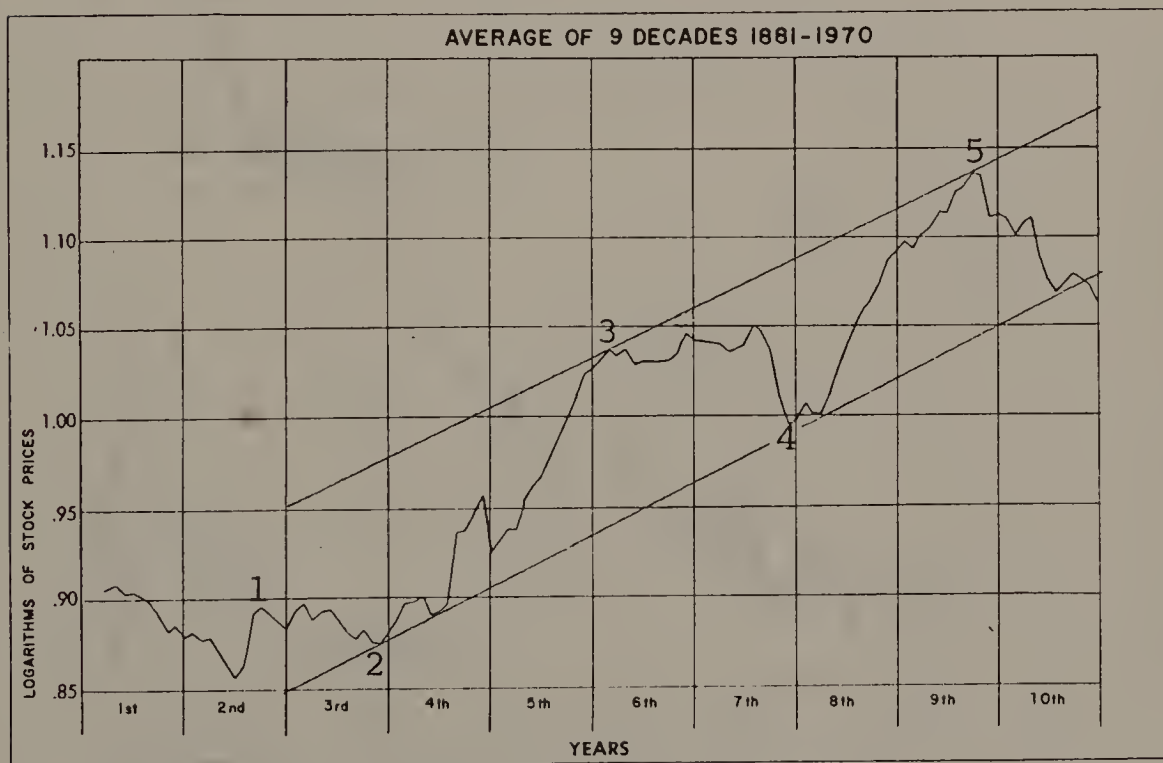


Figure B-11